



FUNDAMENTAL ACCOUNTING (100)

—Secondary—

STATE – 2019

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Accounting Identification (30 @ 1 point each) _____ (30 points)

Short-Answer Problems (14 @ 3 points each) _____ (42 points)

Job 1: Financial Analysis (8 @ 5 points each) _____ (40 points)

Job 2: Special Journals _____ (45 points)

TOTAL POINTS _____ ***(217 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step to two decimals.
- Use 360 days for interest calculations.



Multiple Choice—2 points each, Total points 60

1.	B	16.	D
2.	D	17.	A
3.	C	18.	C
4.	C	19.	D
5.	C	20.	B
6.	D	21.	B
7.	C	22.	C
8.	A	23.	B
9.	D	24.	B
10.	C	25.	B
11.	B	26.	C
12.	A	27.	A
13.	D	28.	D
14.	D	29.	A
15.	A	30.	D

Account Identification—1 point each, Total points 30

Account Name	Classification	Normal Balance	Financial Statements
Accounts Receivable	A	DR	BS
Purchases	C	DR	IS
Advertising Expense	E	DR	IS
Prepaid Utilities	A	DR	BS
Unearned Rent	L	CR	BS
Income Summary	SE	N	N
Retained Earnings	SE	CR	BS & SOSE
Accumulated Depreciation	A	CR	BS
Sales Discount	R	DR	IS
Notes Payable	L	CR	BS



Short Answer Problems—3 points each, Total points 42

1. a. 146,200

b. 20,000

c. 256,200

2. a. 1,427,790

b. 594,015

c. 41.6%

3. a. 2,275.31

b. June 7

1. a. 180,475

b. 3,609.50

2. a. 4,400

b. 19,600

c. 4,400

d. 15,200

Job 1 – Financial Analysis—5 points each, Total points 40

a. 10,230

b. 260,180

c. 120,080

d. 3.8 to 1, (or just 3.8)

e. 92,480

f. 260,180

g. 10.2%

h. 15.4%



Job 2 – Special Journals – 1 point each for Journal, Debit, Credit. Total points 45

	Journal	Debit	Credit
1. Paid ABC Storage \$900 in advance for three months of rent for storage space.	<u>CP</u>	<u>160</u>	<u>110</u>
2. Sent a \$500 check to Bixby Realty for monthly rent on building lease.	<u>CP</u>	<u>640</u>	<u>110</u>
3. Sold merchandise worth \$700 to Brian Jones, plus sales tax of \$49. Brian paid \$500 at the time of the sale.	<u>CR</u>	<u>120, 110</u>	<u>410, 230</u>
4. Ordered merchandise over the phone from Carter & Hines Paints worth \$2,500, amount to be paid later. Terms of sale are 2,10, n/30.	<u>P</u>	<u>510</u>	<u>210</u>
5. Recorded cash sales of \$7,500 plus sales tax of \$525.	<u>CR</u>	<u>110</u>	<u>410, 230</u>
6. Merchandise from transaction #4 was received. Some paint cans were damaged. Granted allowance of \$400 from Carter & Hines Paints.	<u>G</u>	<u>210</u>	<u>530</u>
7. Brian Jones paid amount owed from #3.	<u>CR</u>	<u>110</u>	<u>120</u>
8. Issued a check to Carter & Hines Paints for amount owed, less discount for early payment.	<u>CP</u>	<u>210</u>	<u>110, 520</u>
9. Bought supplies on account for \$800.	<u>G</u>	<u>150</u>	<u>210</u>
10. Dexter Crawley withdrew supplies from the business in the amount of \$350.	<u>G</u>	<u>320</u>	<u>150</u>
11. Sent a check to Outdoor Signs Inc. in the amount of \$600 for billboard advertisement.	<u>CP</u>	<u>610</u>	<u>110</u>
12. Received a check from a customer to pay off a promissory note of \$800 plus interest of \$43.	<u>CR</u>	<u>110</u>	<u>130, 440</u>
13. Recorded sale of merchandise of \$3,700 plus sales tax of \$259. Payment to be received at a later date from the customer. Terms of the sale are 2/10, n/30.	<u>S</u>	<u>120</u>	<u>410, 230</u>
14. Granted credit to the customer for merchandise returned, \$200, plus sales tax of \$14.	<u>G</u>	<u>430, 230</u>	<u>120</u>
15. Received payment from the customer for amount owed of \$3,745 less discount for early payment.	<u>CR</u>	<u>110, 420</u>	<u>120</u>